

doing something wrong. And while people are generally fine with paying fees, fines are supposed to be avoided. You're supposed to make decisions that preempt and avoid fines. Traffic fines and IRS fines mean you did something wrong and deserve to be punished. The natural response for anyone who watches their wealth decline and views that drop as a fine is to avoid future fines.

It sounds trivial, but thinking of market volatility as a fee rather than a fine is an important part of developing the kind of mindset that lets you stick around long enough for investing gains to work in your favor.

Few investors have the disposition to say, "I'm actually fine if I lose 20% of my money." This is doubly true for new investors who have never experienced a 20% decline.

But if you view volatility as a fee, things look different.

Disneyland tickets cost \$100. But you get an awesome day with your kids you'll never forget. Last year more than 18 million people thought that fee was worth paying. Few felt the \$100 was a punishment or a fine. The worthwhile tradeoff of fees is obvious when it's clear you're paying one.

Same with investing, where volatility is almost always a fee, not a fine.

Market returns are never free and never will be. They demand you pay a price, like any other product. You're not forced to pay this fee, just like you're not forced to go to Disneyland. You can go to the local county fair where tickets might be \$10, or stay home for free. You might still have a good time. But you'll usually get what you pay for. Same with markets. The volatility/uncertainty fee—the price of returns—is the cost of admission to get returns greater than low-fee parks like cash and bonds.

The trick is convincing yourself that the market's fee is worth it. That's the only way to properly deal with volatility and uncertainty—not just putting up with it, but realizing that it's an admission fee worth paying.

There's no guarantee that it will be. Sometimes it rains at Disneyland.

But if you view the admission fee as a fine, you'll never enjoy the magic. Find the price, then pay it.